provide to the Commission information regarding the name of any person guaranteeing such transactions or exercising any control over the trading of such non-U.S. member.

The Commission estimates that each SBSEF would need to update information required by Rule 826(f) once per year and that each submission would take 0.4 hours. Thus, the Commission estimates that the aggregate ongoing annual burden for all SBSEFs to comply with requests for documents or information pursuant to Rule 826(f) would be 2 hours.[1070] The Commission is basing its estimate on the estimate included by the CFTC in its submission to OMB regarding § 1.37(c), where the CFTC estimated that it would take a SEF 0.4 hours to prepare each record in accordance with § 1.37(c).

For PRA purposes, it is reasonable to apply the CFTC's approach to Rule 826(f). This work, should it be required, is likely to be conducted internally.

(g) Rule 834

Rule 834 of Regulation SE implements section 765 of the Dodd-Frank Act with respect to SBSEFs and SBS exchanges and, in addition, adapt certain CFTC rules that are designed to mitigate conflicts of interest at SEFs (and other CFTC-registered entities). Rule 834 provides that each SBSEF and SBS exchange must create and maintain rules to mitigate conflicts of interest between SBSEFs and SBS exchanges and their members, including by prohibiting members from owning 20% or more of the voting rights of an SBSEF or SBS exchange and from exercising disproportionate influence in disciplinary proceedings. Rule 834 also requires each SBSEF and SBS exchange to submit to the Commission after every governing board election a list of each governing board's members, the groups they represent, and how the composition of

[1070] 1 (number of responses per year per respondent) x 0.40 hours (burden per response) x 5 (number of respondents) = 2 hours.

the board complies with the requirements of Rule 834. Establishing such rules and submitting such lists to the Commission would result in a paperwork burden for SBSEFs and SBS exchanges.

The Commission estimates that Rules 834(b) and (c) together would have an initial, one-time paperwork burden of 15 hours per entity associated with drafting and implementing any such rules, for an aggregate one-time paperwork burden of 120 hours.[1071] Rules 834(b) and (c) are substantially similar to Proposed Rule 702(c) of Regulation MC.[1072] In its PRA analysis for Proposed Rule 702(c), the Commission estimated that there would be a one-time paperwork burden of 15 hours per entity associated with drafting and implementation of any such rules by each SBSEF or SBS exchange.[1073] While the Commission is modifying Rule 834(b) to provide an exception to the 20% restriction mentioned above to SBSEFs that have entered into an agreement with a registered futures association or a national securities association for the provision of certain specified regulatory services, the Commission does not estimate that this exception would result in a change in burden hours for compliance with Rule 834(b). The modification does not affect the information collection under this rule, as it does not involve any record keeping, reporting, or third-party disclosure obligations. Therefore, the Commission is not altering its estimate of 15 hours per entity for Rule 834(b).[1074]

1071 1 (number of responses per respondent) x 15 hours (burden per response) x 8 (5 SBSEFs + 3 SBS exchanges) = 120 hours. Rule 834(a) contains defined terms and would not result in a paperwork burden.

1072 Regulation MC Proposal, *supra* note 21, 75 FR at 65916.

1073 *Id.*

1074 *See supra* section VIII.B for discussion of the 20% restriction.

Additionally, the Commission estimates that Rule 834(d), Rule 834(e), and Rule 834(f), combined, would result in an aggregate ongoing annual paperwork burden of 10 hours.[1075] Rules 834(d), (e), and (f) are substantially similar to Proposed Rule 702(h) in Regulation MC in 2010[1076] and CFTC § 1.64(c)(4), CFTC § 1.64(b), and CFTC § 1.64(d), respectively. The Commission is basing its estimate on the CFTC's estimate that Rules 1.41(d),[1077] 1.63, 1.64, and 1.67 would result in an average annual paperwork burden of 1.25 hours per response that was included in its submission to OMB.[1078]

The Commission estimates that Rule 834(g) would have an aggregate ongoing annual burden of 16 hours.[1079] Rule 834(g) is substantially similar to § 1.69 of the CFTC's rules, and the Commission is basing its estimate on the CFTC's estimate for § 1.69 of 2 hours per response that was included in its submission to OMB.[1080]

The Commission does not estimate that Rule 834(h) would result in a paperwork burden not already included in the above estimates. Rule 834(h) incorporates into a single rule the requirements for an SBSEF to file rules to comply with Rule 834. As it has already described the paperwork burdens of Rules 834(b) through (g), the Commission does not estimate that Rule

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1075 10 hours = 1 (number of responses per respondent) x 1.25 hours (burden per response) x 8 (number of SBSEF + SBS exchange respondents).

1076 Regulation MC Proposal, *supra* note 21, 75 FR at 65932.

1077 While §1.41(d) created an exemption from the requirements of section 5a(a)(12)(A) of the CEA for contract market rules not related to terms and conditions, the CFTC did not break out the portion of the burden hours for which this amendment is responsible. Therefore, to be conservative, the Commission is including it in its estimate for the burden hours of Rules 834(d), (e), and (f).

1078 *See* 58 FR 37644, 37653.

1079 16 hours = 1 (number of responses per respondent) x 2 hours (burden per response) x 8 (number of SBSEF + SBS exchange respondents).

1080 *See* 64 FR at 16, 22.

834(h) would result in a separate paperwork burden not already included above. Thus, the total aggregate ongoing annual burden is estimated at 26 hours.[1081]

5. Miscellaneous Burdens

(a) Rule 833

Rule 833 describes how exemptions could be obtained for foreign SBS trading venues from the SEA definitions of "exchange," "security-based swap execution facility," and "broker" and how SBS executed on a foreign trading venue could become exempt from the SEA's trade execution requirement. Based on the CFTC's experience in the SEF market,[1082] the Commission estimates that there would be three requests for an exemption order under either or both paragraphs (a) and (b) of Rule 833 in the first year and two requests in each subsequent year; and that each submission would require an initial, one-time burden of 80 hours. Once an exemption has been granted to an applicant, no further action would be required. The Commission estimates the burden to submit an exemption request under one or both paragraphs of Rule 833 would be 240 hours in the first year[1083] and 160 hours in each subsequent year.[1084]

1081 26 hours = 10 hours (from the second sentence of Rules 834(d), 834(e), and 834(f)) + 16 hours (from Rule 834(g)) + 0 hours (from Rule 834(h).

1082 *See supra* text accompanying note 1041.

1083 240 hours (80 hours of in-house counsel time) x (3 respondents).

1084 160 hours (80 hours of in-house counsel time) x (2 respondents). This estimate is informed by Rule 908(c) of the Commission's Regulation SBSR, which sets forth the requirements surrounding requests under which regulatory reporting and public dissemination of SBS transactions can be satisfied by complying with the rules of a foreign jurisdiction rather than the parallel rules applicable in the United States. The materials necessary to support such a request under Rule 908(c) are broadly similar to the materials necessary to support a request for an exemption order under one or both paragraphs of Rule 833. The Commission estimated that the burden of a request under Rule 908(c) would be 80 hours of in-house counsel time; therefore, the Commission estimates that burden for submitting documents and information in support of a request for an exemption order under Rule 833 would be the same.

(b) Rule 835

Rule 835 provides that, if an SBSEF issues a final disciplinary action against a member, takes final action with respect to a denial or conditioning membership, or takes final action with respect to a denial or limitation of access of a person to any services offered by the SBSEF, the SBSEF shall file a notice of such action with the Commission within 30 days and serve a copy on the affected person.

The Commission estimates that it would take 0.5 hours to prepare this notice and provide it to the Commission and the affected person. This estimate is based on a previous Commission estimate for the time that it would take to prepare and submit a simple notice.[1085] The Commission estimates that it would take an additional 0.25 hours to create and serve a copy of that notice on the affected person. The Commission estimates that these notices would occur once per month at each SBSEF, resulting in an aggregate annual burden to comply with Rule 835 of 45 hours.[1086] This work, should it be required, is likely to be conducted internally.

6. Total Paperwork Burden Under Proposed Regulation SE

Based on the foregoing, the Commission estimates that the total one-time burden for all SBSEFs, persons that seek an exemption order under Rule 833, and SBS exchanges combined pursuant to the requirements under Regulation SE is equal to 1,995 hours. The Commission estimates that annual ongoing burden for all SBSEFs, persons that seek an exemption order under Rule 833, and SBS exchanges combined pursuant to the requirements under Regulation SE is equal to 2,712.15 hours.

[1085] A provision of Regulation SCI, Rule 1000(b)(4)(i), also requires providing a simple notice and the Commission estimated that it would take 0.5 hours to prepare and such a notice. *See Regulation Systems Compliance and Integrity; Final Rule*, SEA Release No. 73639 (Nov. 19, 2014), 79 FR 72251, 72381 (Dec. 5, 2014).

[1086] 45 hours (0.75 hours of in-house counsel time) x (12 responses per year) x (5 respondents).

Summary of Aggregate Burden Hours				
Rule or Provision	Burden Hours Per Respondent	One-Time or Ongoing	Respondents	Total Hours
Registration (Rule 803, Form SBSEF)	295	One-Time	5	1,475
Rules modeled on CFTC part 37 (other than registration)	387	Ongoing	5	1,935
Rule and product filing processes (Rules 804 through 807)	60	Ongoing	5	300
809	0.25	Ongoing	5	1.25
811(d)	0.25	Ongoing	5	1.25
819(i)	79.83	Ongoing	5	399.15
819(j)	0.5	Ongoing	5	2.5
826(f)	0.4	Ongoing	5	2
833	80	One-Time	3 and 2[a]	240 and 160
834(b) through (c)	15	One-Time	8	120
834(d) through (g)	3.25	Ongoing	8	26
835	9	Ongoing	5	45

[a] Three respondents in the first year and then two each subsequent year.

E. Collection of Information is Mandatory

The collections of information imposed on SBSEFs throughout Regulation SE is mandatory for registered SBSEFs. The collection of information with respect to Rule 833 is mandatory for persons that seek an exemption order under Rule 833. The collection of information with respect to Rule 834 is mandatory for SBS exchanges.

F. Responses to Collection of Information Will Not Be Confidential

The collection of information required under Regulation SE would generally not be kept confidential, unless confidential treatment is requested and granted by the Commission pursuant to Rule 24b-2 under the SEA.

G. Retention Period of Recordkeeping Requirements

Although recordkeeping and retention requirements have not yet been established for SBSEFs, the Commission is authorized to adopt such rules under section 3D of the SEA. Rule 826 under Regulation SE implements section 3D(d)(9) of the SEA to require an SBSEF to maintain records, for a minimum of five years, of all activities relating to the business of the SBSEF, including a complete audit trail.

XIX. REGULATORY FLEXIBILITY CERTIFICATION

The Regulatory Flexibility Act ("RFA")[1087] requires Federal agencies, in promulgating rules, to consider the impact of those rules on small entities. Section 603(a) of the Administrative Procedure Act,[1088] as amended by the RFA, generally requires the Commission to undertake a final regulatory flexibility analysis of rules it is adopting, unless the Commission certifies that the rules would not have a significant impact on a substantial number of "small entities."[1089] Section 605(b) of the RFA states that this requirement shall not apply to any proposed rule or proposed rule amendment which, if adopted, would not have a significant economic impact on a substantial number of small entities.[1090] In the Proposing Release, the Commission certified, pursuant to section 605(b) of the RFA, that that the proposed rules, form, and cover sheet under Regulation SE and the related rules and rule amendments, if adopted, would not have a significant economic impact on a substantial number of small entities for purposes of the

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1087 5 U.S.C. 601 *et seq.*

1088 5 U.S.C. 603(a).

1089 Although section 601(b) of the RFA defines the term "small entity," the statute permits agencies to formulate their own definitions. The Commission has adopted definitions for the term "small entity" for the purposes of Commission rulemaking in accordance with the RFA. Those definitions, as relevant to this rulemaking, are set forth in Rule 0-10 under the SEA, 17 CFR 240.0-10. *See* SEA Release No. 18452 (Jan. 28, 1982), 47 FR 5215 (Feb. 4, 1982) (File No. AS-305).

1090 *See* 5 U.S.C. 605(b).

RFA.[1091] The Commission solicited but did not receive any comments on the certification as it related to the entities impacted by Regulation SE. The Commission's analysis of the existing information relating to entities subject to Regulation SE, for purposes of the RFA, is discussed below.

A. SBSEFs

Most of Regulation SE, and the related rules and rule amendments, apply to registered SBSEFs (or entities that are seeking to register with the Commission as SBSEFs). In the Dodd-Frank Act, Congress defined SBSEFs as a new type of trading venue for SBS and mandated the registration of these entities. Based on its understanding of the market, and review of and consultation with industry sources, the Commission estimates that five entities will seek to register as SBSEFs and thus would be subject to Regulation SE and the related rules and rule amendments.

For purposes of Commission rulemaking in connection with the FRFA, a small entity includes: (1) when used with reference to an "issuer" or a "person," other than an investment company, an "issuer" or "person" that, on the last day of its most recent fiscal year, had total assets of $5 million or less;[1092] or (2) a broker-dealer with total capital (net worth plus subordinated liabilities) of less than $500,000 on the date in the prior fiscal year as of which its audited financial statements were prepared pursuant to Rule 17a-5(d) under the SEA,[1093] or, if not required to file such statements, a broker-dealer with total capital (net worth plus subordinated liabilities) of less than $500,000 on the last business day of the preceding fiscal year (or in the time that it has been in business, if shorter); and is not affiliated with any person

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1091 *See* Proposing Release, *supra* note 1, 87 FR at 28969–70.

1092 *See* 17 CFR 240.0-10(a).

1093 17 CFR 240.17a-5(d).

(other than a natural person) that is not a small business or small organization.[1094] Under the standards adopted by the Small Business Administration ("SBA"), entities in financial investments and related activities[1095] are considered small entities if they have $41.5 million or less in annual receipts.

Most, if not all, SBSEFs would be large business entities or subsidiaries of large business entities, and that every SBSEF (or its parent entity) would have assets in excess of $5 million (or in the case of a broker-dealer, total capital of less than $500,000) and annual receipts in excess of $41,500,000. Therefore, for purposes of the RFA none of the potential SBSEFs would be considered small entities.

B. Persons Requesting an Exemption Order Pursuant to Rule 833

Rule 833 describes how foreign SBS trading venues could become exempt from the SEA definitions of "exchange," "security-based swap execution facility," and "broker" and how SBS executed on a foreign trading venue could become exempt from the SEA's trade execution requirement. Based on the fact that the CFTC has granted similar exemptions with respect to three foreign jurisdictions,[1096] the Commission estimates that there would be three requests under one or both paragraphs of Rule 833 in the first year and two in each subsequent year. These requests would likely be submitted by foreign SBS trading venues, foreign authorities that license and regulate those trading venues, or covered persons (as defined in Rule 832) who are members of such trading venues.

1094 *See* 17 CFR 240.0-10(c).

1095 These entities would include firms involved in investment banking and securities dealing; securities brokerage; commodity contracts dealing; commodity contracts brokerage; securities and commodity exchanges; portfolio management; investment advice; trust, fiduciary and custody activities; miscellaneous intermediation; and miscellaneous financial investment activities. *See* SBA's Table of Small Business Size Standards, Subsector 523.

1096 *See supra* text accompanying note 1041.

Based on the Commission's existing information about the SBS market, the Commission estimates that for purposes of the FRFA no person likely to request an exemption order pursuant to Rule 833 would be considered a small entity. The Commission estimates that most, if not all, of the persons requesting exemptions would be large business entities or subsidiaries of large business entities, and on its own, or through its parent entity, would have assets in excess of $5 million (or in the case of a broker-dealer, total capital of less than $500,000) and annual receipts in excess of $41,500,000. Therefore, the Commission estimates that for purposes of the RFA they would not be considered small entities.

C. SBS Exchanges

Certain rules under Regulation SE apply to SBS exchanges. Currently, there are no SBS exchanges. However, the Commission estimates that there could be up to three entities that would be considered SBS exchanges and would thus be subject to certain requirements of Regulation SE.

For purposes of Commission rulemaking in connection with the RFA, a small entity includes, when used with reference to an exchange, an exchange that has been exempted from the reporting requirements of Rule 601 of Regulation NMS[1097] and is not affiliated with any person (other than a natural person) that is not a small business or small organization.[1098] Under the standards adopted by the SBA, entities involved in financial investments and related activities[1099] are considered small entities if they have $41.5 million or less in annual receipts.

1097 17 CFR 242.601.

1098 *See* 17 CFR 240.0-10(e).

1099 These entities would include firms involved in investment banking and securities dealing, securities brokerage, commodity contracts dealing, commodity contracts brokerage, securities and commodity exchanges, miscellaneous intermediation, portfolio management, investment advice, trust, fiduciary and custody activities, and miscellaneous financial investment activities. *See* SBA's Table of Small Business Size Standards, Subsector 523.